

To: Prime Minister's Office of Singapore

From: Boramey Rith, Strategy Group of the Prime Minister's Office

Subject: Responding to US Export-Control Pressure: Securing Singapore's Role in the AI Supply Chain

Date: 18/Sep/2026

I. Summary

Singapore has established itself as an important node in the global semiconductor supply chain and is seeking to capture further opportunities from the growth of AI. Singapore's competitiveness rests on an established manufacturing ecosystem, efficient logistics, global connectivity, and most importantly, its reputation as a trusted and geopolitically stable ground for business operations.

As semiconductors and AI infrastructure become increasingly shaped by geopolitical competition, advanced chips and computing technologies are now subject to export controls, accusations of dual-use technology, and other economic-security restrictions. As a major trading, logistics, and semiconductor hub, Singapore faces growing pressure over both transshipment enforcement and export controls—to ensure its networks are not used to divert sensitive technologies to end users. This paper argues that Singapore should respond to growing US export-control and transshipment pressure by strengthening supply-chain verification where necessary to preserve its status as a trusted trading hub, while deepening its strategic importance in the semiconductor and AI ecosystem to reduce its vulnerability to future trade restrictions.

II. Background

In March 2026, the US Department of Justice indicted a network of individuals for allegedly diverting servers containing Nvidia AI chips to China in violation of US export laws barring export to the country without a license. The scheme involved approximately US\$2.5 billion in server purchases, with Singapore among the logistics hubs that underwent investigation regarding the case.

In August 2026, the Trump administration intensified its scrutiny of tariff evasion through third countries, [flagging dozens](#) of US trading partner vessels as potential risks for facilitating the transshipment of Chinese goods. A subsequent [White House report](#) and the New York Times [Opinion piece](#) by Peter Navarro, President Donald Trump's Assistant and Senior Counsellor for trade and manufacturing, expanded on these concerns that transshipment of

Chinese goods being routed through low-tariff jurisdictions and re-entering the U.S. market under new national identities resulted in billions of revenue loss. Nine of eleven ASEAN Member States were named, including Singapore, which was placed in the report's third tier of lower-volume economies considered vulnerable to China-linked rerouting. The report points toward a heavier evidentiary burden on ASEAN exporters to demonstrate genuine value addition and that their exports are not facilitating tariff circumvention.

III. Analysis

The 2026 report outlines two main avenues (1) a heavier burden of proof for product origins and tighter screening requirements; and (2) the establishment of an AI-enabled Customs and Border Protection System to track the origins and history of goods entering the U.S.

The immediate challenge for Singapore is not simply the possibility of higher US tariffs. It is the emergence of a trading environment in which market access increasingly depends on a country's ability to demonstrate provenance and its value addition in the goods for the ultimate destination. As a major hub for re-exports and transshipment, this creates particular exposure for Singapore:

- More extensive origin verification and supply-chain due diligence would raise compliance costs and potentially slow the movement of legitimate trade.
- Historically, the effect of the 10% baseline blanket tariffs on Singapore's economy has been muted in part because critical sectors have benefited from product exclusions --[Section 122 \(General Exemption\)](#). More recent Section 301 measures penalizing trading partners over forced labour enforcement in international supply chains, including [Singapore](#), on the basis that Singapore does not have an explicit domestic law banning the import of forced-labor goods, or an active Agreement on Reciprocal Trade (ART) framework with Washington. This illustrates how the US trade pressure can increasingly require changes further upstream in trading partners' supply chains. For Singapore, adopting additional import restrictions solely in response to US pressure could impose substantial tracking and compliance costs across its [S\\$ 2.5 trillion global trading hub](#).
- These pressures are unlikely to be temporary. In July 2026, an [IMF working paper](#) estimated that, under low short-run substitution elasticities, an 80% reduction in Chinese Rare Earth Element (REE) supplies could cause a short-term U.S. GDP loss of about 1.5%, worth about US\$400 billion. In contrast, the U.S. reported an estimated loss of about US\$40–US\$90 billion due to illegal transshipment through

various different methodology. While the two estimates reflect different economic effects and are not directly comparable, the asymmetry remains instructive: Washington's strategic concerns extend beyond revenue lost through tariff circumvention to the broader vulnerabilities associated with concentrated supply chains. The scale of US's exposure explains why trade enforcement, export controls and supply-chain resilience are increasingly treated as interconnected economic security concerns.

- As the one-year pause in U.S.-China export restrictions nears its end this November 2026, and [China continues to dominate the mining and processing of REE](#) and magnet manufacturing, while expanding its engagement with Southeast Asian supply chains. The approaching deadline could renew the US efforts to address strategic supply-chain dependencies through export controls and trade enforcement to increase pressure on Southeast Asian economies positioned between the US and Chinese supply chains.
- The US product exclusions for strategically important sectors demonstrate that economic interdependence can still create policy space, and it is particularly relevant for Singapore's position in semiconductors and other high-value technology supply chains.
- Growing uncertainty over tariffs and export controls means that location alone may no longer provide sufficient resilience. While China-plus-one strategy have focused on spreading production across locations, forward-looking firms may increasingly prioritize ecosystems in which suppliers, manufacturing capabilities, talent and infrastructure can continue operating efficiently even as trade restrictions change.
- Singapore's advantage lies in its high-value manufacturing ecosystem, talent, connectivity, and regulatory stability, complemented by access to the capabilities of neighbouring economies. Singapore can be a key high-value node connecting complementary semiconductor and AI capabilities across Southeast Asia.

IV. Recommendations

Regulatory front:

- Strengthen customs and supply-chain verification capabilities to demonstrate product origin and substantive value addition credibly. Singapore should pursue a system that is internationally credible and interoperable with major trading partners.

This will allow Singapore to avoid unnecessarily burdensome requirements that could undermine its efficiency as a trading hub.

- The Agreement on Reciprocal Trade (ART) should not be prioritize solely in response to current US pressure. Singapore's government should continue assessing its implications against the wider costs to Singapore's open trading model and relationship with other trading partners.
- Expand support for firms adapting to new supply-chain requirements, including grants and financing for companies focusing on goods traceability, supply-chain redesign and compliance capabilities.

Sector-specific front:

- Deepen Singapore's semiconductor and AI ecosystem rather than competing primarily on manufacturing scale. Singapore already accounts for around [10% of global semiconductor output and 20% of semiconductor equipment production](#). Due to land constraints, Singapore cannot compete with other economies on manufacturing scale, but as geographical diversification alone has become less effective amid volatile export controls and trade restrictions, Singapore should target activities such as advanced packaging, semiconductor equipment, AI infrastructure, and professional logistics services that support them to create dense complementarities across the value chain.
- Singapore should build on its [strength](#) in R&D, financing and regulatory credibility. By increasing targeted R&D research and improving access to growth capital in strategic sectors such as semiconductors, AI, quantum technology, water technologies and renewable energy.
- Singapore should deepen collaboration with regional and [international partners](#) to build a more resilient supply chain by developing alternative supply networks, expand joint R&D, and improve access to technology, expertise and markets.